June 2004 meeting of the Empowered Committee of State Finance Ministers, … there was a broad consensus among the States to implement VAT. 1 April 2005 has been set as the date for implementation. I welcome the decision and warmly congratulate the state governments. I urge all States that have not yet passed the relevant VAT legislation to do so before the end of 2004. International experience, as well as the experience of the State of Haryana, suggests that VAT will lead to an increase in revenue and not a loss in revenue. Nevertheless, in order to give comfort to the States, I propose to evolve a formula for determining the compensation for the loss of revenue, if any.'

The good work done in the Empowered Committee of the Finance Ministers and the Centre's encouragement sweetened by the compensation for loss, made over 80 per cent of the states enact the VAT laws and made them applicable in financial year 2004–05. The remaining five states did so in 2005–06. By the end of financial year 2005–06, the entire country had switched over to the VAT system for goods in place of states' sales taxes.

Services Taxation Introduced in the 1990s Integrated the VAT Concept Gradually

Services taxation was quite fragmented until the 1980s. While some services mentioned in the Union and state lists like entertainment, luxuries and passenger travel did have incidence of taxation under respective central and state legislations, there was no concept of taxing services generically. Most services were outside the indirect tax net in the 1980s.

Services got recognized as an area of taxation in the 1990s and the first steps to build a comprehensive system of taxing value added in services began with the Government of India imposing service tax on three services that were hitherto untaxed. To quote Finance Minister Manmohan Singh from the 1994–95 Budget speech: